

If you are hung up on the idea of having to live a low-cost lifestyle, it is worth quantifying what that means with regards to the tax code. The sweet spot for tax planning is to get taxable income in the 12 percent marginal tax bracket. This is possible once you no longer need a large income to support your living expenses and save toward FI, opening you up to many options.

Keeping taxable income in the lowest marginal tax brackets produces a low effective tax rate, and it allows most investment income to be taxed at 0 percent. Without doing anything to lower your taxable income, a married couple with no kids could earn or take distributions from tax-deferred accounts up to \$103,350 utilizing the standard deduction in 2019, meaning \$0 in tax liability on most investment income, before reaching the top of the 12 percent marginal tax bracket.

According to the most recent US Census data, the average American household income is \$59,039. Being able to live on over \$100,000 with little tax liability allows you to live far better than most, even if your spending looks like everyone else's. Optimizing spending on housing, cars, and food and having less need for insurance means those who *Choose FI* have a lower base cost of